submission of the Dr Urjit Patel Committee report, which is expected by end-December 2013.

Second, we have already announced measures to free bank branching, and to incentivize foreign banks to incorporate domestically. Going forward, we have to give our public sector banks, which are a national asset, the means to improve their competitiveness. Many of them have made enormous strides in the last decade – for instance, the extent to which they have digitized their operations is extremely praiseworthy – but because competition in the banking sector is likely to increase in the next few years, they cannot rest on their laurels. In the coming months, we will discuss with stakeholders in public sector banks about what needs to be done to further improve their stability, efficiency and productivity.

Third, we need to enlist markets in the aid of banking. Liquid markets will help banks offload risks they should not bear, such as interest rate or exchange risk. They will also allow banks to sell assets that they have no comparative advantage in holding, such as long-term loans to completed infrastructure projects, which are better held by infrastructure funds, pension funds, and insurance companies. Liquid markets will help promoters raise equity which is sorely needed in the Indian economy to absorb the risks that banks otherwise end up absorbing. Rather than seeing markets as being inimical to the development of the banking sector, we have to see them as complementary – of course, this requires you bankers to build on your risk management capabilities so that you can use markets effectively.

In the coming weeks, we will roll out more recommendations of the Gandhi Committee report to improve the liquidity and depth of the government securities (G-Sec) market. We will then turn to money markets and corporate debt markets. We will introduce new variants